

Article | 2 July 2026

UNITED STATES

US rate hike talk cools on softer jobs data

US job creation slowed after a decent three-month run while the unemployment rate fell, but this was primarily due to worker disengagement with more than 700,000 leaving the labour force. A disappointing outcome that has taken the wind out the sails for calls for imminent rate hikes. A soft July CPI report should boost the case for a prolonged Fed pause



US job growth was weak in June

57,000

US jobs added in June

Lower than expected

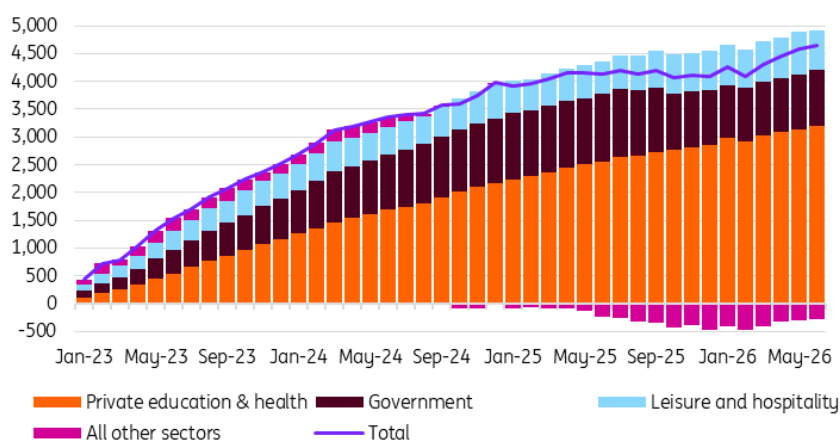
Weak jobs growth, unemployment rate falls for bad reasons

The June US jobs report led with a softer-than-expected non-farm payroll growth number of 57,000 (consensus 113k) with 74,000 downward revisions to the past two months. The

unemployment rate dipped to 4.2% from 4.3%, but this was primarily caused by a big drop in the participation rate to 61.5% from 61.8% – ie not a good reason since it highlights worker disengagement. In fact, the details show the number of people employed falling by half a million, while the number of people unemployed fell 213k, meaning more than 700k left the workforce. Worryingly, the bulk of the pain was seen in prime age workers – those aged 25–54 – where the participation rate fell from 83.9% to 83.3%. Wage growth was in line at 0.3% month-on-month or 3.5% year-on-year.

In terms of non-farm payrolls, the private sector was particularly subdued, rising only 49k, with private education/healthcare services yet again the only source of strength, rising 69k. This sector has cumulatively accounted for 70% of all the jobs created in the United States since December 2022 – a remarkable degree of job concentration. Leisure and hospitality has been another key sector for job creation in recent years, but not in June. Employment fell 61k, which is a major surprise given the World Cup is on and bars and the venues themselves are busy. Employment in this sector had increased by 44,000 in May, so it may be that business owners had thought there might be even more excitement about what was going on and have been left disappointed.

Cumulative job creation since December 2022 (000s)



Source: Macrobond, ING

Inflation is the Fed's focus, but better news is coming here

Non-farm payroll growth averaged just 8,571 per month between January 2025 and February 2026, but there was a decent uptick over the March-May period when payrolls increased 164k on average. Today's number suggests that this was not necessarily the start of a new trend and takes some out of the wind of the sails for the call for imminent rate hikes. However, Federal Reserve Chair Kevin Warsh has made it clear that inflation is the Fed's focus right now, so market reaction is somewhat muted, with cumulative hikes by December now amounting to 31bp versus 37bp just before the data was published. The 14 July consumer price inflation data should show MoM prices falling due to the steep drop in gasoline prices and that will likely

have more of an impact on investor psychology. We continue to favour a prolonged pause from the Federal Reserve rather than expect a 2026 rate hike.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 29 June 2026

COMMODITIES, FOOD & AGRI ENERGY

The curious case of collapsing oil prices

Oil prices have sold off aggressively following the US-Iran Memorandum of Understanding. While we believe the move is overdone, we look at some of the reasons behind the strong pullback in prices



The oil market is treating this temporary US-Iran ceasefire as a permanent deal. This is clearly not the case.

The oil market prices in a quick recovery of Persian Gulf supplies

The Memorandum of Understanding (MoU) between the US and Iran has led to a significant sell-off in the oil market – far more aggressive than most analysts were expecting, including us.

The sell-off has been driven firstly by the premature expectation of a normalisation in oil supply from the Persian Gulf, and secondly, clear weakness in the physical market. However, we believe that the market is being too optimistic over the speed of the supply recovery as well as its sustainability. Furthermore, we have seen a significant tightening in global oil inventories since the start of the conflict, which leaves the market more vulnerable relative to the pre-war environment.

The price action in recent weeks reflects a market that is treating this temporary ceasefire between the US and Iran as a permanent deal. This is clearly not the case, and as we have

seen over the last four months, the situation can change very quickly. It took long enough to agree on a temporary ceasefire. Reaching a permanent deal which tackles the nuclear issue within 60 days would be very optimistic. Of course, there is always the potential for the ceasefire to be extended, which would effectively be kicking the can down the road.

Fundamentally, while a reopening of the Strait of Hormuz is seeing oil and LNG flows pick up, they remain well below pre-war levels. Our balance sheet continues to show that the oil market will be tight through the third quarter, and this follows the significant inventory drawdowns since March. We believe the market has overshot to the downside. However, our assumption is that flows will only get close to pre-war levels towards the end of the third quarter, while current price levels imply a return to normal by the end of July.

At close to \$70/bbl, the oil market currently has close to zero geopolitical risk premium priced in. [Under our base case, we had forecast ICE Brent to average \\$85/bbl in 4Q26](#). Clearly, more bearish sentiment combined with a quicker supply recovery poses a risk to this view.

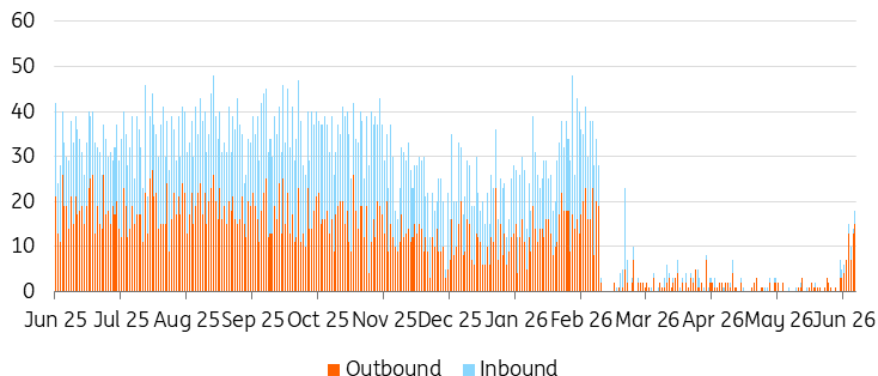
In this note, we look at some of the key reasons why the market has sold off so aggressively.

Persian Gulf oil flows are resuming

Oil flows through the Strait of Hormuz are picking up, vessel tracking data shows an increase in crossings, although for now they clearly remain well below pre-war levels. Over the last week, it is estimated that oil flows have averaged around 7m b/d vs pre-war flows of 20m b/d. However, we do not need to see Strait of Hormuz oil flows return to 20m b/d in order for Persian Gulf oil supply to fully recover. Given that some Saudi and UAE oil is bypassing the strait with the help of pipeline diversions, we only need to see flows through the strait return to around 14m b/d to get back to pre-war levels.

However, the key uncertainty is whether these flows can be sustained. A lot of these vessel movements are essentially vessels which have been trapped for months in the Persian Gulf finally moving out. Inbound vessel movements are more modest, which suggests flows could pull back once previously stranded ships have left the Persian Gulf.

Strait of Hormuz oil tanker crossings rise but dominated by outbound movements (number of tankers)



Source: LSEG, ING Research

Note: Vessels which turn off their AIS will not be reflected in this data

✓ Iran sanction waiver

A condition of the MoU was that, in addition to the US lifting its blockade on Iranian ports, sanctions would be eased on Iranian oil exports. The US has kept to this promise with the blockade lifted and a temporary 60-day waiver on sanctions. The lifting of the US blockade is more important when it comes to seeing a recovery in Iranian oil exports. The easing in sanctions does open the door for further potential buyers of Iranian oil (rather than almost exclusively China), which suggests that discounts on Iranian crude oil could narrow, rather than lead to a dramatic increase in Iranian supply. In order to see Iranian oil output increase, we would need to see a more permanent easing in sanctions, which would then potentially see Iran managing to increase output by about 500k b/d from pre-war levels.

✓ The physical oil market is weak

A key factor behind the weakness is that ultimately, the physical oil market is weak at the moment. Buyers have been deferring purchases in anticipation of lower prices, and so are happy to draw down inventory instead. The weakness in the physical market is highlighted by the widening discounts for a number of crude grades. Dated Brent is trading at a discount to Brent futures and there have been reports of China reselling West African cargoes.

However, restocking will need to happen at some stage, as the continued drawing down of inventory is not sustainable. The forward curve still does not provide the biggest incentive to restock, so possibly we may have to see the forward curve flatten and possibly even move into contango for more meaningful restocking to occur.

And while there will be a lot of attention on when and if we see a recovery in China's crude oil

imports, it is unlikely that we see significant restocking from China given that while imports have fallen drastically following the war, inventory drawdowns have been much more modest. The restocking demand we expect will come from elsewhere.

Dated Brent vs front-line Brent futures- DFL (US\$/bbl)



Source: LSEG, ING Research

✓ Return of Gulf flows coincides with continued SPR releases

The pickup in oil flows from the Persian Gulf is also coinciding with the continued release of oil from government strategic reserves. IEA member countries early on in the conflict agreed to a coordinated release of 412m barrels – the largest on record. These volumes continue to come onto the market, and if we look at just the US, releases from the Strategic Petroleum Reserve have averaged more than 1.2m b/d since May.

✓ Demand destruction has been more aggressive than expected

Expectations had been that demand destruction in the second quarter of the year was anywhere between 2-3m b/d, with most of this coming from the petrochemical sector and aviation. However, more recent estimates from the IEA suggest that the demand hit has been far more aggressive than expected. The IEA estimates that 2Q26 demand fell around 5m b/d YoY, compared to a previous estimate of a 2.45m b/d year-on-year decline over the quarter. Demand appears to have been much more reactive beyond the sectors and fuels initially expected. More aggressive demand destruction would also mean that the degree to which the market has had to rely on inventories is somewhat less. Looking forward, the key question is how quickly demand recovers. The IEA expects that global oil demand will only return to YoY growth in the final quarter of this year.



Growing surplus expectations for 2027

There is a growing expectation that the global oil market will be well supplied through 2027, assuming obviously that the return of Persian Gulf supply continues. While the 2027 supply/demand balance means little for current fundamentals, markets are forward-looking, and so this will not be helping sentiment.

The higher prices seen through March and much of the second quarter mean that there has been an increase in US drilling activity. As a result, US crude oil production is expected to grow in the region of 500k b/d YoY in 2027.

In addition, the UAE's exit from OPEC leaves room for stronger supply from the Middle East. The UAE had been producing around 3.5m b/d pre-war, and with current capacity of almost 4.3m b/d and plans to increase this to 5m b/d in 2027, there is sizeable upside to supply next year.

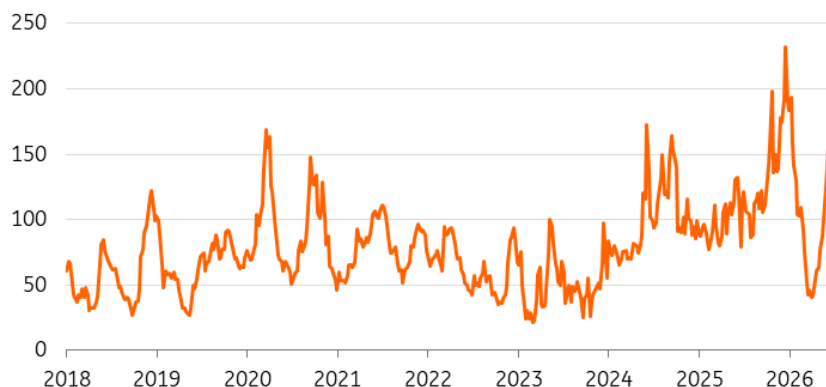
Furthermore, Iran is another potential source of additional supply. However, this will largely depend on whether there is a more permanent easing in US sanctions on Iran. If this were the case, we could see Iran increase output by around 500k b/d from pre-war levels to around 3.8m b/d.

Some may argue that if we move to significant oversupply in 2027, we will see OPEC+ manage supply in an attempt to rebalance the market. However, this may be more difficult to put into practice. Gulf countries have suffered in recent months due to the war and the blockade of the Strait of Hormuz, so there will likely be pushback if producers are asked to rein in supply. Iraq has already made it clear that it wants a higher production quota following the war. And with the recent exit of the UAE and threats from Iraq, the group will want to be careful about pushing members too much.

A significant speculative short has built up in the oil market

Through the war, there was a reluctance amongst market participants to hold too much risk in the market, given the headline-driven nature of the market and how one tweet could lead to wild swings in prices. However, since the temporary peace deal, we have seen a sizeable amount of fresh selling coming into the oil market. In fact, the speculative gross short in ICE Brent is near record highs, and while this highlights the bearish sentiment in the market, it also suggests that the speculative short is somewhat stretched, which may limit the appetite for significant further fresh selling.

The managed money gross short in ICE Brent is near record levels (000 lots)



Source: ICE, ING Research

✓ Consumers are not jumping into the market to hedge

Tying in with buyers deferring purchases in the physical market, in the futures market, consumers are also holding back from hedging, possibly in anticipation of lower prices. While recent Commitment of Traders data does show that ICE Brent consumer longs have edged higher recently, they are still well below pre-war levels.

ICE Brent commercial gross long (000 lots)



Source: ICE, ING Research

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 30 June 2026

AUSTRALIA INDIA

Asia's consumer recovery: winners and laggards

Consumption in Asia is recovering on easing inflation, rising asset prices, and stronger incomes, but unevenly. Structural gaps in savings, wealth mix, and income drivers are widening the divide between outperformers (Japan, Australia, Singapore, India) and slowing ASEAN economies

Vector Globe EPS10



Source: Shutterstock

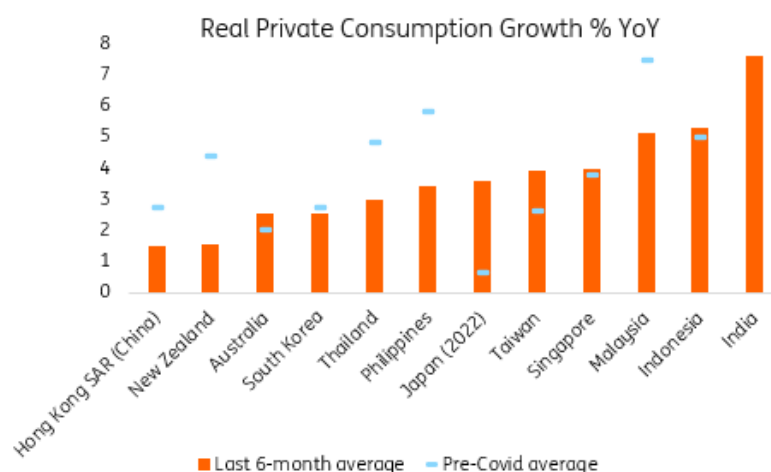
Asia consumption recovery: gradual but uneven

Private consumption across Asia remained subdued in 2025, reflecting soft real income growth, cautious household sentiment, and the lagged effects of earlier monetary tightening. Recent declines in oil prices are a welcome relief, easing pressure on household purchasing power and supporting sentiment. At the same time, strong equity market gains - most notably

in Japan and South Korea - have lifted household wealth, providing a partial offset to income pressures.

Against this backdrop, Asia's consumer is showing signs of recovery. But it remains uneven rather than broad-based, with increasing differentiation across the region. Economies such as Japan, Australia, Singapore, and India are benefiting from structurally stronger consumption trends, with activity largely back to pre-pandemic levels. Cyclical momentum is also [improving in Korea](#) and Taiwan, supported by AI-driven growth, strengthening real income dynamics, and more accommodative policy settings. By contrast, consumption recoveries in the Philippines, Thailand, Indonesia, and Malaysia continue to lag. We explore some of the divergence in consumption trajectories across Asian economies.

Japan, Australia, Singapore, seeing structurally stronger consumption trends



Source: CEIC

Savings buffers: uneven trends across the region

Households entered the post-Covid period with elevated savings, but the extent to which these buffers still exist is increasingly divergent. Consumption in economies with limited buffers is likely to be more volatile and sensitive to near-term shocks, particularly changes in energy prices.

- In North Asia (Japan, Korea, Taiwan), excess savings accumulated during the pandemic have largely been drawn down, with consumption normalisation and higher living costs eroding buffers.
- In parts of ASEAN, particularly lower-income economies such as the Philippines and Indonesia, precautionary savings remain thin. This leaves consumption more sensitive to

income shocks and inflation.

- By contrast, Singapore stands out with still-healthy household balance sheets, supported by stronger income growth and asset price gains.

Japan: Wage-led recovery, wealth effects to build gradually

While Japan's consumption growth has softened recently, the underlying structural backdrop is turning more supportive. This is driven primarily by a shift toward higher wages reflecting tighter labour market conditions and improved corporate profitability. It marks an important break from Japan's deflationary past and provides the foundation for a more durable, income-driven recovery in consumption. Real income growth has finally turned positive. We expect the tight labour market to continue to support positive real income growth.

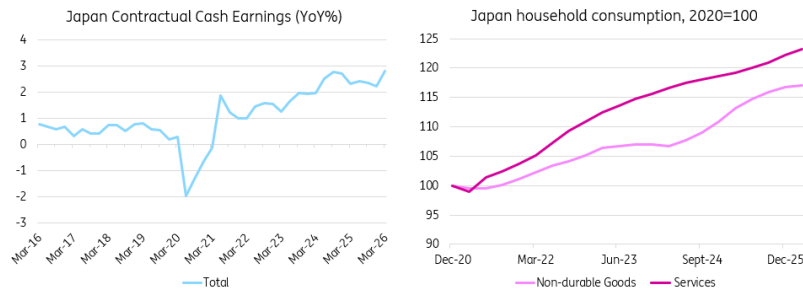
Strong service consumption suggests households are more willing to spend today than to save. Decisions are less anchored to expectations of falling prices. This is a critical sign that deflation is easing structurally, not just temporarily. Services are labour-intensive, so rising consumption here often reflects higher wages, and stronger employment conditions

At the same time, the economy is undergoing a gradual yet important shift away from its long-standing cash-heavy, deflation-era household behaviour towards more market-linked and risk-taking behaviour. Over the past three years, households have steadily reallocated assets toward equities and investment funds, supported by strong market performance, policy incentives such as the expansion of Nippon Individual Savings Accounts (NISA), and a changing inflation backdrop. While cash and deposits still account for roughly half of total household assets, the share of equities and mutual funds has risen meaningfully to around 22% in 2025 from 15% in 2022.

Despite these supportive factors, the transmission to consumption remains limited. Japan is only in the early stages of its transition toward equity ownership, and participation starts from a low base. So, recent wealth gains have been concentrated among higher-income households—primarily the top 10–20% who already have greater exposure to risk assets.

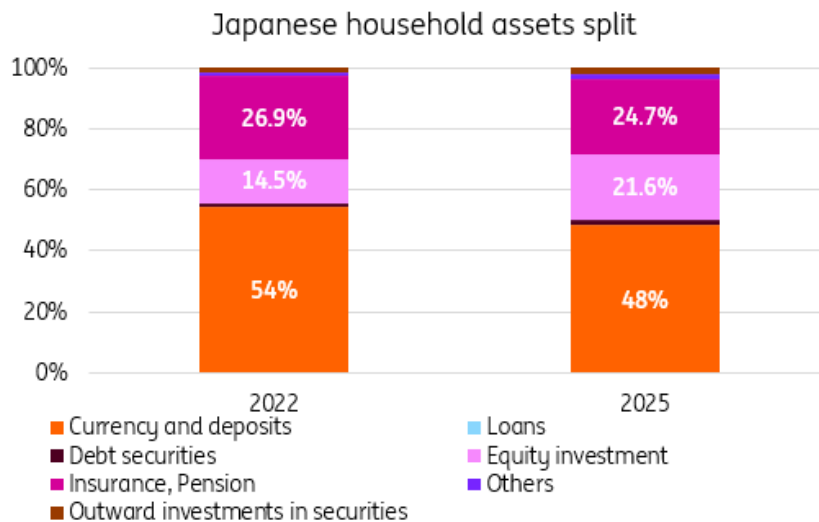
The structural shift toward higher wages and higher equity ownership should gradually support a recovery in consumption. However, the pace is likely to remain moderate, constrained by ageing households, which limit the transmission of wealth to spending.

Japan is seeing a shift towards higher wages



Source: CEIC

Japan is undergoing an important shift away from cash



Source: CEIC

Australia: housing wealth supports consumption

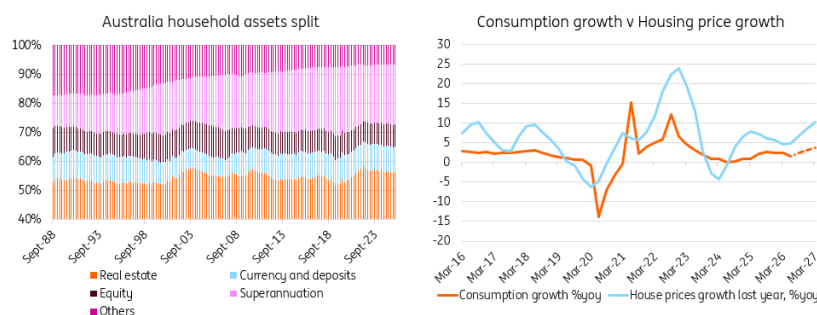
Australia presents a clear contrast to Japan in that household wealth is heavily concentrated in real estate rather than financial assets. Around 55% of household wealth is tied to housing, a composition that has remained broadly stable over the past few decades.

House prices have increased sharply - by more than 50% - since the COVID period, driven by a combination of strong demand and constrained supply. Population growth has been a key factor. Immigration is running well above pre-pandemic levels, while housing supply has struggled to keep pace due to weak building approvals and persistent structural bottlenecks. Even in the face of higher interest rates, house prices have remained resilient and continued to trend upward.

This has supported household balance sheets and consumption via housing wealth effects, though gains are uneven-non-homeowners face worsening affordability and rising rents. A still-tight labour market has underpinned income growth.

Looking ahead, our estimates suggest that real consumption growth in Australia is significantly more sensitive to house price movements than to wage growth. As such, consumption should accelerate in the second half of the year, supported by the lagged effects of strong house price appreciation through the first quarter of 2026. In addition, persistently tight housing supply is likely to limit downside risks to house prices. This is helping sustain household wealth and reduce the risk of a sharp pullback in consumption.

Australia - house price growth supports robust consumption



Source: CEIC

Singapore: durable uplift in consumption

Singapore is seeing a durable uplift in consumption, underpinned by structural tailwinds rather than cyclical factors.

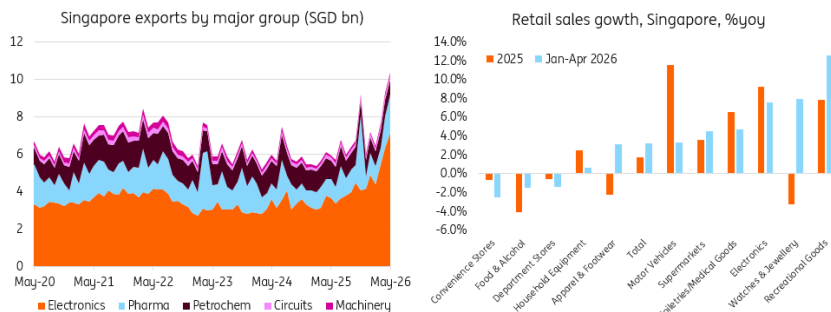
Singapore is benefiting from two reinforcing trends. First, strong and sustained FDI inflows driven by its safe-haven appeal. Its role as a regional logistics and services hub, and relative tariff advantage, are supporting income growth and employment stability. Second, Singapore is emerging as a key beneficiary of the AI investment cycle, given its world-class digital infrastructure, deep talent pool, and openness to innovation. These forces are translating into firm wage growth and strengthening household purchasing power.

Importantly, this is now visible in consumption patterns. Singapore is seeing a clear recovery in discretionary spending in 2026, with robust demand across categories such as leisure, electronics, and luxury goods. At the same time, tourism has rebounded strongly - now around 25% above pre-pandemic levels - providing an additional lift to retail, hospitality, and services consumption.

These dynamics are not only strengthening the external sector but are also spilling over into domestic demand. Labour market conditions remain supportive, with wages rising in

Singapore.

Singapore is benefitting from AI investments



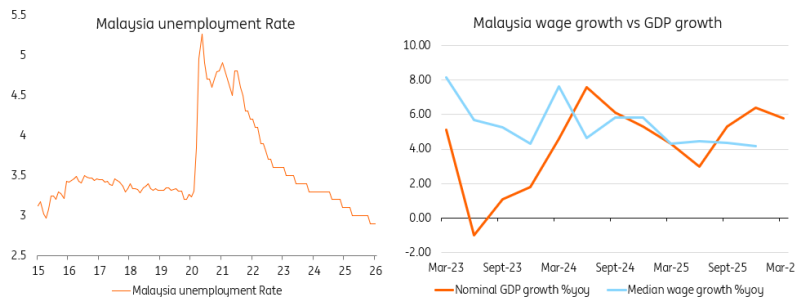
Source: CEIC

Middle of the pack: Malaysia – looking for new drivers

Real consumption growth in Malaysia remains below its pre-Covid pace. First, housing wealth, previously a key driver of private consumption, has played a more muted role in recent years. Second, while the slower pace of post-pandemic debt accumulation eased the incremental drag from new borrowing, elevated debt servicing burdens continue to weigh on consumption. Third, despite high labour force participation and low unemployment, wage growth has been persistently constrained by weak productivity and the concentration of jobs in lower value-added sectors.

Yet there's a growing tailwind. The current wave of AI- and data centre-related investments is enabling a gradual shift toward higher value-added activities. This should support improvements in productivity and income over time. Malaysia is becoming more deeply embedded in the global AI value chain, particularly through its strength in semiconductor assembly and testing. It continues to attract strong FDI inflows. In parallel, the country is emerging as a regional data centre hub, with large-scale infrastructure development, creating new employment opportunities. Together, these structural shifts should help underpin a gradual recovery in consumption.

Malaysia – despite low unemployment, wage growth is constrained by weak productivity



Source: CEIC

The laggards: Indonesia and Philippines

While low household debt is a structural tailwind, consumer spending in these economies remains primarily income-driven rather than credit-driven, making it more vulnerable to income volatility.

Philippines – low productivity growth constraining consumption

Structural constraints in the labour market are capping the upside for income-driven consumption. According to the World Bank, between 2010 and 2025, three out of four new jobs were created in non-tradable sectors, which tend to have lower productivity growth. Export-oriented firms are around 20% more productive than non-exporters, yet the number of such firms has declined over the past decade. Though IT and business services outsourcing (BPO) grew, manufacturing stagnated due to real effective exchange rate appreciation, high energy costs, technology trends, and a challenging regulatory environment. This shift away from higher-productivity, export-oriented sectors toward lower value-added activities poses a structural constraint on income growth and, by extension, on the sustainability of consumption.

Consumption in the Philippines is closely tied to overseas remittances, which are predominantly used for day-to-day household spending rather than savings or investment. This structural reliance makes local demand heavily dependent on external income flows rather than domestic credit conditions.

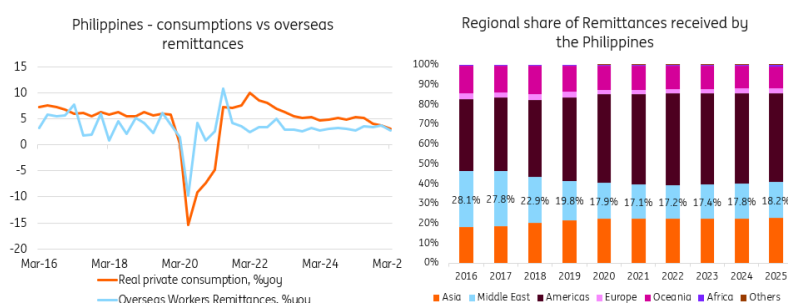
Recent data points to an emerging slowdown: Overseas remittance growth eased to around 2% year-on-year, with inflows falling to an 11-month low of about \$2.7 billion in April 2026. This marks the weakest annual growth in nearly four years.

With the Middle East accounting for roughly 17–18% of total remittance inflows, developments in the region are particularly important. Headline data doesn't yet show a sharp contraction in

remittances from the Middle East, but growth has moderated since February. Month-to-month flows have become more uneven in early 2026, reflecting early-stage disruptions linked to the conflict.

As such, the recent slowdown and rising volatility could exert a more persistent drag on inward remittances as conditions in the Middle East region take time to stabilise. Given the limited offset from alternative income sources, particularly for lower- and middle-income households, any sustained weakening in remittance inflows is likely to weigh on private consumption with a lag. This reinforces downside risks to domestic demand.

Philippines – slowdown in remittances could impact consumption



Source: CEIC

Indonesia – structurally constrained

While headline consumption growth numbers in Indonesia suggest household demand remains relatively stable, high-frequency indicators tell a more nuanced story. Retail sales and consumer confidence have remained persistently soft, suggesting underlying weakness in spending dynamics. This divergence reflects the structural nature of Indonesia's consumption model. Consumption is heavily income-driven rather than credit-driven. Relatively low household leverage is limiting households' ability to smooth spending during periods of weak income growth.

Post-Covid, Indonesia's consumption dynamics remain constrained by weak income growth and limited household buffers. Despite headline GDP growth of around 5%, real wage growth has been modest at roughly 2%. This spotlights a disconnect between macro growth and household income gains. It reflects a structural shift toward lower-productivity sectors, with manufacturing's share of GDP declining to roughly 18.7%, while employment has tilted toward informal and low-value-added services.

Household balance sheets show signs of fragility. While the aggregate gross savings rate remains relatively high at around 35–37% of GDP, it masks significant distributional

differences. Micro-level indicators point to weakening buffers. Average household savings per bank account have been declining, suggesting an erosion of per-capita reserves. At the same time, Bank Indonesia survey data shows that the share of income allocated to savings rose to about 14.9% in December 2025. The share spent on consumption edged down to around 74–75%, indicating rising precautionary behaviour rather than stronger financial positions.

High-frequency indicators reinforce this picture of subdued demand. Retail sales contracted by 3.7% YoY in April, marking the first decline in a year. Consumer confidence, meanwhile, eased to around 120.9 in May from 123 previously. Monthly momentum has been volatile, with retail sales falling 11.6% MoM in April, underscoring weak discretionary spending.

Taken together, these data points suggest that Indonesia's consumption is being constrained not by a lack of aggregate savings but by weak income growth and thin buffers among lower- and middle-income households. The combination of modest real wage gains, declining per-household savings, and rising precautionary saving points to cautious consumer behaviour.

Indonesia: weak near-term outlook



Source: CEIC

Conclusion

In sum, Asia's consumers are recovering, but the rebound is increasingly uneven. Structural factors - not just cyclical conditions - are driving a divergence, with income growth, savings buffers, and wealth composition shaping consumption outcomes. This suggests the region is unlikely to see a synchronised consumption upswing, with laggards continuing to weigh on aggregate demand.

Author

Deepali Bhargava

Regional Head of Research, Asia-Pacific

Deepali.Bhargava@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 26 June 2026

KEY EVENTS

THINK Ahead: US jobs data and the ECB's inflation test

In a holiday-shortened week in the US, Thursday's June jobs report should be a cause for cheer, while falling gasoline prices are also helping ease inflation pressure. In Europe, eurozone inflation data will test ECB rate hike expectations



On 4 July, the US will celebrate the 250th anniversary of the signing of the Declaration of Independence

THINK Ahead in developed markets

United States (James Knightley)

- **Jobs Report** (Thu): America will be celebrating the 250th anniversary of the signing of the Declaration of Independence next Saturday, resulting in a holiday-shortened week. Thursday's June jobs report should also be a cause for cheer, with the fourth consecutive 100k+ reading for non-farm payrolls having averaged merely 8,500 per month between January 2025 and February 2026. While a print of around 110k will not be especially stellar, it will be enough to keep the market pricing Federal Reserve interest rate hikes. The ongoing fall in energy prices is another cause for celebration, with gasoline prices set to break below \$3.50 per gallon imminently. This will leave more money in consumers' pockets while also prompting sharply lower inflation readings over the next few months. Manufacturing surveys also suggest a decent ISM report, which, all

in all, means we expect a week that should be supportive for risk appetite.

Eurozone (Bert Colijn)

- **June Economic Sentiment Indicator** (Mon): After a sluggish PMI, the question is whether the second big survey on the eurozone economy shows more improvement. The Middle East deal will not have been fully incorporated yet, but with oil prices already moderating before the deal was struck, sentiment should see some improvement. Consumer confidence, part of the indicator, has already been released and indeed ticked up. Not only sentiment about output, but also inflation sentiment is very relevant. If fewer companies intend to price through higher costs, this will be a clear dovish sign for the ECB.
- **Inflation** (Wed): The key indicator for next week will be inflation for June from a eurozone perspective. Some positive notes on inflation recently, as businesses seem more wary about increasing prices and, most importantly, prices at the pump have come down in recent weeks, which brings the annual increase down compared to May. Markets have been adjusting ECB rate hike expectations down and the June number will be a clear mark for how concerning the inflation situation is now that the deal will bring additional relief.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **June Flash CPI** (Tue): We project a further decline in headline inflation amid a visible decline in fuel prices vs. the previous month, even though the excise duty on gasoline and diesel was restored to its regular levels from the beginning of the year. Food price inflation remains benign, and core inflation was likely broadly unchanged compared to May. All in all, the National Bank of Poland is unlikely to signal any deviation from its wait-and-see policy stance in early July, and the new inflation projection should show that inflation might be heading towards the target, potentially as early as 2Q27, meaning there is no need to hike rates. At the same time, the return to cuts is unlikely any time soon, given the uncertainty regarding the impact of the recent Middle East conflict on prospects for the global economy.

Czech Republic (David Havrlant)

- **June Manufacturing PMI** (Wed): The Statistical Office will likely confirm the 1Q GDP take, though we see some scope for upward revision of the soft quarterly growth. Industrial PMI is expected to have marginally deteriorated in June, while it remained safely in expansionary territory, proving a welcome resilience of Czech manufacturing to the Middle Eastern disturbance.

Turkey (Muhammet Mercan)

- **Inflation** (Fri): We expect monthly inflation to moderate further in June to 0.8%, resuming a downtrend in the annual figure to 31.9% from 32.6% a month ago. This would be driven by unprocessed food prices thanks to a recovery in agricultural production and favourable rainfall so far this year, while the rapid decline in oil prices is also supportive for energy inflation.

Key events in developed markets next week

THINK economic and financial analysis

Country	Time	Data/event	ING	Prev.
Monday 29 June				
Eurozone	0900	May M3 Money Supply	2.8	2.7
	1000	Jun Business Climate	0.1	-0.3
	1000	Jun Economic Sentiment	94.4	93.5
	1000	Jun Consumer Confidence Final	-	-19
Spain	0800	Jun CPI Flash NSA (MoM%/YoY%)	-/-	0.1/3.2
	0800	May Retail Sales (MoM%/YoY%)	-/-	-1.5/0.8
Tuesday 30 June				
US	1400	Apr Case-Shiller 20 (MoM%/YoY%)	-0.2/0.9	-0.2/0.8
	1445	Jun Chicago PMI	55.8	62.7
	1500	Jun Consumer Confidence	97.5	93.1
	1500	May JOLTS job openingsd (000s)	7250	7618
Germany	0700	May Retail Sales Real (MoM%/YoY%)	0.4/0.0	-0.3/-0.3
	0855	Jun Unemployment Rate	6.4	6.3
	1300	Jun CPI (MoM%/YoY%)	-/-	-0.2/2.6
France	0745	Jun CPI Prelim (MoM%/YoY%)	-/-	0.1/2.4
UK	0700	Q1 GDP Growth (QoQ%/YoY%)	-/-	0.6/1.1
	0700	Q1 Current Account GBP (GBP bn)	-	-18.4
Italy	1000	Jun CPI Prelim (MoM%/YoY%)	0.4/3.4	0.4/3.2
Canada	1330	Apr GDP (MoM%)	-	-0.1
Portugal	1100	Jun CPI Flash (MoM%/YoY%)	-/-	0.2/3.3
Wednesday 1 July				
US	1315	Jun ADP National Employment (000s)	110	122
	1500	Jun ISM Manufacturing PMI	54.2	54
	1500	Jun ISM Manufacturing Prices Paid	72	82.1
Eurozone	0900	Jun S&P Manufacturing PMI Final	51.6	51.6
	1000	Jun CPI Flash (YoY%)	3.1	3.2
	1000	Jun Core CPI Flash (YoY%)	2.6	2.6
Germany	0855	Jun S&P Global Manufacturing PMI Final	50.1	50.1
UK	0930	Jun S&P Global Manufacturing PMI Final	-	53.9
Italy	0845	Jun S&P Global Manufacturing PMI	53	52.9
Thursday 2 July				
US	1330	Initial Jobless Claims (000s)	225	215
	1330	Jun Non-Farm Payrolls (000s)	110	172
	1330	Jun Private Payrolls (000s)	115	120
	1330	Jun Unemployment Rate	4.3	4.3
	1500	May Factory Orders (MoM%)	-3.7	4.8
Eurozone	1000	May Unemployment Rate	-	6.3
Italy	0900	May Unemployment Rate	5.1	5.1
Switzerland	0730	Jun CPI (MoM%/YoY%)	-/-	0.2/0.6
Friday 3 July				
US	-	National Holiday	-	-
Eurozone	0900	Jun S&P Global Services PMI Final	-	47.7
	0900	Jun S&P Global Composite PMI Final	-	48.5
Germany	0855	Jun S&P Global Services PMI Final	48.1	48.1
	0855	Jun S&P Global Composite PMI Final	48.8	48.8
France	0745	May Industrial Output (MoM%)	-	0.1
	0850	Jun S&P Global Composite PMI	-	44.9
UK	0930	Jun S&P Global Services PMI Final	-	49.3
	0930	Jun S&P Global Composite PMI Final	-	49.7
Italy	0845	Jun S&P Global Composite PMI	-	50.4
Spain	0815	Jun S&P Global Services PMI	-	50.1

Source: Refinitiv, ING

Key events in Central and Eastern Europe next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 29 June				
Turkey	1200	May Bank NPL Ratio	-	2.7
	0800	Jun Economic Confidence	-	97.2
Kazakhstan		- Q2 GDP (YoY%)	-	3
Tuesday 30 June				
Turkey	0800	May Trade Balance Final (USD bn)	-5.6	-8.5
Czech Rep	0800	Q1 Revised GDP (QoQ%/YoY%)	0.2/2.2	0.2/2.2
Hungary	0730	May Trade Balance Final (EUR mn)	-530	370
Poland	0830	June flash CPI (MoM%/YoY%)	-0.1/2.9	-0.3/3.1
Wednesday 1 July				
Russia	0700	Jun S&P Global Manufacturing PMI	-	49.8
	1700	May Retail Sales (YoY%)	5.0	6.5
	1700	May Unemployment Rate	2.2	2.2
Turkey	0800	Jun Manufacturing PMI	-	49.8
Poland	0800	Jun S&P Global Manufacturing PMI	49.7	49.4
Czech Rep	0830	Jun S&P Global Manufacturing PMI	51.8	52.2
	1300	Jun Budget Balance (CZK bn)	-154.0	-170.2
Hungary	0800	Jun Manufacturing PMI	49.9	50.2
Kazakhstan		- Jun CPI (MoM%/YoY%)	0.7/10.2	0.7/10.4
Thursday 2 July				
Russia		- May GDP (YoY%) Monthly	0.5	1.3
Turkey	1230	Gross FX Reserves (USD bn)	-	53.1
Friday 3 July				
Russia	0700	Jun S&P Global Services PMI	-	48.7
	0700	Jun S&P Global Composite PMI	-	49.2
Turkey	0800	Jun CPI (MoM%/YoY%)	0.8/31.9	1.7/32.6

Source: Refinitiv, ING

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Bert Colijn

Chief Economist, Netherlands

bert.colijn@ing.com

Adam Antoniak

Senior Economist, Poland

adam.antoniak@ing.pl

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Muhammet Mercan

Chief Economist, Turkey

muhammet.mercan@ingbank.com.tr

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United

THINK economic and financial analysis

States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 3 July 2026

BULGARIA

Monitoring Bulgaria: A focus on public finances

Bulgaria's economy shows solid momentum, supported by domestic consumption and investment, while the external sector has been weaker. Eurozone entry brings new opportunities, but near-term attention is increasingly centred on fiscal dynamics and inflation developments



Domestic demand remains resilient in Bulgaria, but attention is increasingly shifting towards fiscal dynamics and inflation developments

Bulgaria at a glance:

- **GDP growth and outlook:** Domestic demand remains resilient, with private consumption and investment driving activity. However, net exports are weighing more noticeably on growth. We project GDP growth of 2.6% in 2026 and 2.5% in 2027.
- **Industry:** A combination of stronger external demand, better energy competitiveness and a more effective public investment execution remains key for recovery ahead.
- **Balance of payments:** The trade deficit has widened, reflecting strong imports alongside softer exports. Tourism continues to provide an important offset, with some short-term fluctuations but broadly positive medium-term prospects.
- **Inflation:** Inflation rose to 6.9 % in May before decelerating to 5.6% in June, driven by

demand and energy-related factors. We expect it to close the year at 5.0%, before easing to below 3.0% by end-2027.

- **Fiscal policy:** Fiscal balances have come under increased scrutiny. While deficits have widened beyond earlier expectations, public debt remains relatively low, providing some time for a gradual adjustment.

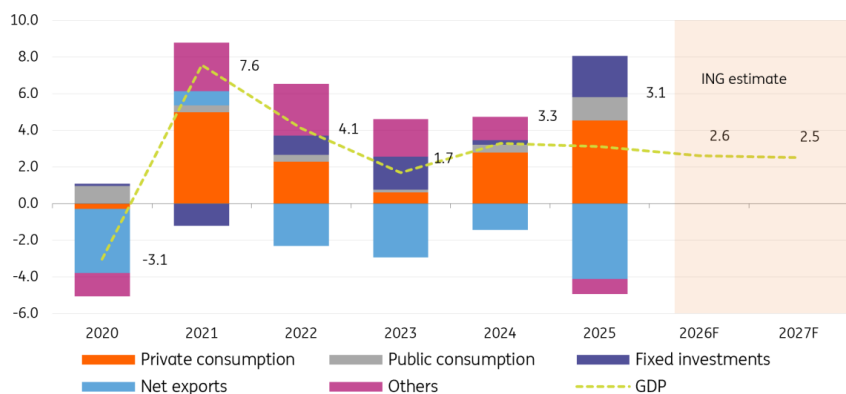
GDP growth: moderation expected but fundamentals remain robust

Annual GDP growth remained relatively strong in 2025 at **3.1%** (from **3.4%** in 2024), supported by robust domestic demand. Private consumption grew **7.7%**, while investment expanded by **11.1%**. However, this strength has also boosted imports, and in the context of weaker external demand, net exports reduced overall growth.

In the first quarter of 2026, the same trends have mostly continued, with further deterioration in the trade balance as export performance weakened while imports stayed firm.

Underlying drivers include a tight labour market and another year of robust wage increases in 2025, supporting household consumption. Fiscal policy has also played a supportive role, contributing to demand and investment activity.

GDP (YoY, %) and Components (ppt)



Looking ahead, we expect GDP growth to edge marginally lower, reaching 2.6% in 2026 and 2.5% in 2027 as the consumption cycle loses some speed. Net exports are likely to remain a drag in the near term, as the consumption momentum continues to provide tailwinds for imports. Exports and industrial production numbers could start looking better through 2026-2027 on the back of more stimulative fiscal policy across Europe, especially Germany.

Overall, the economy should continue expanding, supported by services, tourism, public investment and some euro-area integration effects, but the growth rate is unlikely to repeat

the stronger momentum seen in 2025.

On the monetary front, euro area entry remains beneficial for the economy. It has improved the funding prospects of the economy through lower reserve requirements for the banking sector; it has given Bulgaria a seat in the ECB framework and will continue to support the country's convergence story. However, the near-term macro story is no longer just about euro-driven momentum, but about preserving credibility after entry, especially through prudent fiscal management, strong execution of EU-funded investment and stable inflation.

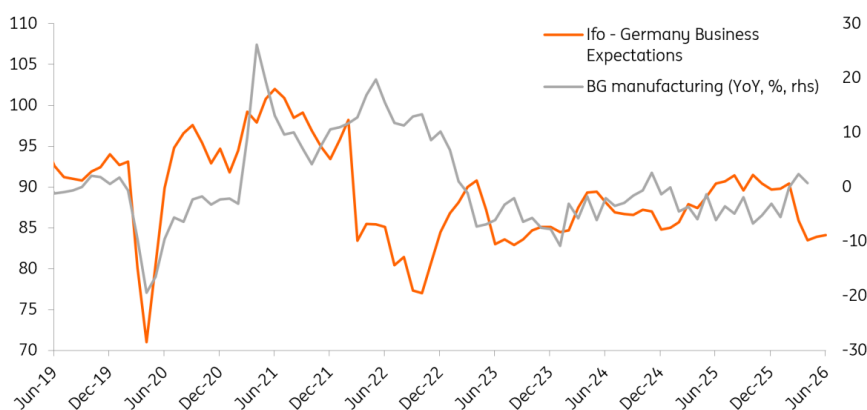
Industry: recovery is yet to be seen

The industrial picture remains lacklustre. Manufacturing activity continues to face pressure from weak external demand, especially given the still-fragile industrial cycle in key European markets. Germany remains particularly important for Bulgaria's export and manufacturing channels, while broader EU demand has not yet delivered a strong enough impulse to offset domestic cost pressures and previous production disruptions.

For a solid pick-up, industrial activity still needs a combination of stronger external demand, better energy competitiveness and efficient public investment execution.

There are some areas of potential support, including infrastructure development, transport and rail investments, energy security initiatives, defence-related production, and decarbonisation projects. The Recovery and Resilience Facility (RRF) also offers opportunities in areas such as renewable energy, digitalisation, and SME support, provided implementation remains timely and effective.

Industrial production: not in the best shape



Source: NSI, Ifo Institute, ING

Balance of payments: domestic demand driving imbalances

The external position remains relatively weak. Strong domestic demand, alongside investment-related and energy imports, continues to widen the trade deficit, while exports are constrained by the softer industrial cycle in Europe.

According to the data for January-April 2026, the latest available at the time of writing, Bulgaria's trade deficit worsened 30% in annual terms, primarily due to a worsening deficit in non-EU trade. This likely reflects a mix of commodity exposure and strong internal demand.

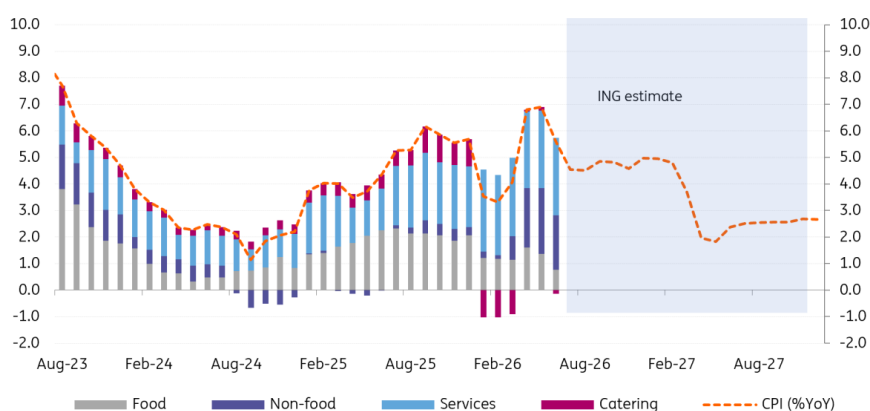
While this may keep the current account in deficit in the short term, tourism continues to serve as a key stabilising factor. Bulgaria remains a competitive destination, with both coastal and mountain tourism benefiting from diverse demand. Granted, some hiccups seem to have emerged through the early summer season on the tourism front, potentially due to the stronger price pressures experienced recently. That said, longer-term structural factors like joining both the Schengen Area and the eurozone, coupled with more year-round offerings – the growing city break scene, cultural tourism, balneology, medical tourism and corporate travel, for instance – should keep prospects constructive for the medium-term tourism story.

Concerning other balance of payments items, the capital and secondary income accounts should remain important shock absorbers for Bulgaria's external position in 2026, mainly through EU-related inflows. The recent green light of Bulgaria's fourth payment request by the European Commission, worth €1.1bn, improves the near-term outlook, although the remainder of future disbursements is uncertain. On the FDI front, data shows visible improvements compared to last year, though much of it reflects reinvested earnings and intra-group financing rather than a broad surge in new projects.

Inflation: sticky but on a downward path

Inflation picked up and remains elevated so far in 2026, reflecting both internal demand and labour market pressures as well as the recent energy shock. Some temporary price adjustments may also have been associated with the euro adoption process, particularly in services, though these are likely to be short-lived. Putting some numbers to it, inflation averaged 5.0% in the first half of 2026, after averaging 4.6% in 2025.

Inflation (YoY, %) and Contributions (ppt)



Source: NSI, ING

Fiscal: increasing attention on sustainability

The country's fiscal developments have gradually become a central focus of the macroeconomic story. The government's 2026 draft budget targets a deficit of 5.7% of GDP, well above the European Commission's 4.1% spring forecast and the EU's 3.0% threshold, with the authorities presenting this as an improvement from a no-policy-change path of a whopping 7.4% of GDP.

Nevertheless, at the time of writing, the 2026 budget situation is still ongoing, with the draft budget on its way to the Parliament vote. Current plans envisage a gradual reduction in the deficit to 3.8% in 2027 and 3.0% in 2028, though risks around these projections remain.

In this context, the possible initiation of an Excessive Deficit Procedure (EDP) by the European Commission would represent part of a broader adjustment process. While investment spending has contributed to the higher deficit, the structure of recurring expenditures, such as wages and social spending, will likely be an important factor in future consolidation efforts.

Author

Stefan Posea

Economist, Romania

tiberiu-stefan.posea@ing.com

Valentin Tataru

Chief Economist, Romania

valentin.tataru@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 3 July 2026

CZECH REPUBLIC POLAND

THINK Ahead: The calm before the CPI

US data is unlikely to derail expectations of a prolonged Fed pause ahead of July's CPI release. Meanwhile, Poland's central bank is set to remain on hold despite softer inflation, while Czech economic indicators continue to show resilience



A quiet week ahead looks unlikely to challenge the case for an extended Fed pause

THINK Ahead in developed markets

United States (James Knightley)

- It is a quiet week for US data, sandwiched between a softer-than-expected US jobs report and a June CPI release scheduled for 14 July, which should show prices at the headline level falling month-on-month due to the plunge in gasoline prices. This may push the market further in the direction of anticipating a long pause from the Federal Reserve rather than an interest rate increase this year.
- **ISM Services PMI** (Mon): The focus will be on business surveys, with the ISM services index set to soften a touch but remain consistent with GDP growth of a little above 2%. Meanwhile, the trade balance is set to deteriorate markedly based on the advanced goods figures already released. The US will also release existing home sales data. Given the lack of affordability caused by elevated prices and high mortgage rates, we expect sales to remain range-bound at weak levels.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **NBP Rates** (Wed): With headline inflation returning to target in June, the prospect of any further rate hikes in Poland is now off the table. Markets have started to speculate that the National Bank of Poland could eventually resume the rate cuts that were put on hold following the outbreak of the war in the Middle East. We believe, however, that the NBP will maintain its wait-and-see approach for the time being. A substantial part of the recent disinflation reflects the fading fuel price shock and a surprisingly sharp decline in food prices. At the same time, core inflation remains above 3%, suggesting that underlying price pressures have not fully dissipated. The June macroeconomic projection is likely to bring a downward revision to the GDP growth path and may indicate that inflation could undershoot the target over the medium term. While the next move in interest rates is more likely to be a cut than a hike, we do not expect it to come anytime soon.

Czech Republic (David Havrlant)

- **Retail Sales/CPI Final** (Tue/Fri): Retail sales likely returned to a punchy annual growth in May, driven by solid nominal and real wage growth. June's annual headline inflation is expected to have eased on the back of tangibly weaker fuel prices, but also a marginally softer core inflation. The unemployment rate was likely driven slightly lower in June, reflecting seasonal employment gains in construction and the upcoming tourist season. We assume that May's industrial output growth has strengthened, confirming the firm ground below the Czech industrial base, despite some headwinds linked to the Hormuz crisis.

Key events in developed markets next week

THINK economic and financial analysis

Country	Time Data/event	ING	Prev.
Monday 6 July			
US	1445 Jun S&P Global Composite PMI Final	52.5	52.2
	1445 Jun S&P Global Services PMI Final	51.9	51.3
	1500 Jun ISM Non-Manufacturing PMI	53.7	54.5
Eurozone	1000 May Retail Sales (MoM%/YoY%)	-/-	-0.4/1
	1000 May PPI (MoM%/YoY%)	-/-	0.6/4.9
Germany	0700 May Industrial Orders (MoM%)	0.8	-3.8
Canada	1430 Jun S&P Global Composite PMI	-	50.8
	1430 Jun S&P Global Services PMI	-	50.6
Switzerland	0800 Jun Unemployment Rate	-	3
Tuesday 7 July			
US	1330 May International Trade (USD bn)	-75.5	-55.9
Germany	0700 May Industrial Output (MoM%/YoY%)	-1/0.8	0.4/-0.5
France	0745 Jun Reserve Assets Total (EUR bn)	-	381.3
	0745 May Trade Balance (EUR bn)	-	-5.6
	0745 May Current Account (EUR bn)	-	-0.2
Canada	1330 May Trade Balance (CAD bn)	-	2.7
Netherlands	0530 Jun CPI NSA (MoM%/YoY%)	-/-	0.1/3.5
Wednesday 8 July			
US	1900 FOMC minutes to June Fed policy meeting		
	2000 May Consumer Credit (USD bn)	17.5	20.7
Thursday 9 July			
US	1330 Initial Jobless Claims (000s)	220	215
	1500 Jun Existing Home Sales (mn)	4.2	4.2
Germany	0700 May Exports (MoM%)	-1	0.9
	0700 May Imports (MoM%)	-2	1.2
	0700 May Trade Balance (EUR bn)	16	14.5
Greece	1000 Jun CPI (MoM%/YoY%)	-/-	0/5.2
Friday 10 July			
Germany	0700 Jun CPI Final (MoM%/YoY%)	-0.2/2.6	-0.2/2.6
France	0745 Jun CPI Final (MoM%/YoY%)	-/-	0.1/2.4
Italy	0900 May Industrial Output (MoM%/YoY%)	-0.2/1.3	0.5/1.3
Canada	1330 Jun Unemployment Rate	-	6.6
Norway	0700 Jun CPI (MoM%/YoY%)	-/-	0.2/3.1
Netherlands	0530 May Manufacturing Output (MoM%)	-	1.4
Greece	1000 May Industrial Output (YoY%)	-	2.1

Source: Refinitiv, ING

Key events in Central and Eastern Europe next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 6 July				
Hungary	0730	May Industrial Output (YoY%)	-	0.9
	0730	May Retail Sales (YoY%)	5.3	3.6
Tuesday 7 July				
Poland	1300	Jun FX Reserves (USD bn)	-	297.2
Czech Rep	0800	May Trade Balance (CZK bn)	3.2	6.8
	0800	May Retail Sales (YoY%, WDSA)	3.5	2.2
Hungary	0800	Jun Inflation Rate Prel (MoM%/YoY%)	0.1/1.9	0.1/2.1
	0730	Jun Core CPI (YoY%)	2.1	2
	0730	Jun CPI (MoM%/YoY%)	0.1/1.9	0/1.8
Wednesday 8 July				
Poland	1400	Rate Decision (%)	3.75	3.75
Czech Rep	0900	Jun Unemployment Rate	4.7	4.8
Thursday 9 July				
Turkey	1230	Jul FX Reserves (USD bn)	-	59.5
Czech Rep	0800	May Industrial Output (YoY%, WDSA)	2.8	1.5
Ukraine	1400	Jun CPI (MoM%/YoY%)	-/-	0.9/8.2
Serbia	1100	Rate Decision (%)	5.75	5.75
Friday 10 July				
Russia	1700	Jun CPI (MoM%/YoY%)	0.8/6.0	0.2/5.3
Turkey	0800	May Industrial Production (MoM%/YoY%)	-/-	3.7/6
Czech Rep	0800	Jun CPI Final (MoM%/YoY%)	0.1/1.9	0.1/2.1
Kazakhstan	-	Jun PPI (YoY%)	-	16

Source: Refinitiv, ING

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Adam Antoniuk

Senior Economist, Poland

adam.antoniuk@ing.pl

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts,

or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 3 July 2026

FRANCE

France's industrial momentum is fading

Industry, the main engine of French growth, is losing steam while other growth drivers remain stalled



Manufacturing output declines

In recent months, the French economy has displayed a degree of duality. While weak household sentiment has weighed on the services sector and domestic demand, industry has performed much better, supported by strong external demand and a highly favourable sectoral mix. However, the data released today suggests that the main engine of the French economy is beginning to lose momentum.

Manufacturing output fell sharply in May, declining by 1.0% month-on-month after a 0.6% increase in April (revised upwards). The downturn was broad-based across sectors. Part of the decline, however, particularly in the production of transport equipment excluding motor vehicles, is not especially concerning. Aircraft and shipbuilding output is inherently volatile given the size and complexity of the products involved. Although production in this segment declined by 2.0% in May, it remains more than 20% higher year-on-year.

By contrast, the continued weakness in the automotive sector is more troubling. Vehicle production fell by 4.7% month-on-month in May and was 7.2% lower than a year earlier, providing further evidence of the challenges facing the European automotive industry. Industrial production also declined in electrical, electronic and computer equipment

manufacturing (-2.3% after +1.4% in April), in other industrial goods such as metals, chemicals and pharmaceuticals (-0.4% after +0.1%), and in the food and beverage industry (-0.3% after being flat in April).

A strong rebound in gas and electricity production helped cushion the overall decline, leaving total industrial output down by only 0.1%, a smaller drop than that recorded in manufacturing.

Overall, French industry appears to be losing momentum, although manufacturing output remains 2.2% higher than a year ago. Meanwhile, construction output rebounded by 1.2%.

French growth lacks a clear engine

Looking ahead, June business survey data points to slower, though still positive, industrial production growth in the coming months. Some temporary factors that previously supported French industry, notably production disruptions among certain Asian competitors, are likely to fade as tensions in the Middle East ease. Other factors should continue to support activity, however, including strong demand in aerospace and rising defence spending, which particularly benefits the roughly 5% of French industry linked to defence manufacturing.

Overall, French industry is expected to continue outperforming the services sector, albeit with less momentum than at the start of the year. This slowdown is likely to affect broader economic growth. Indeed, the prospects for services and domestic demand remain weak despite lower oil prices, reflecting subdued consumer confidence, a weakening labour market and ongoing discussions about tighter fiscal policy in the future.

As a result, it appears unlikely that the services sector will be able to take over from industry as the main driver of French growth. In the absence of a strong growth engine, GDP growth prospects for 2026 remain modest. We continue to forecast growth of around 0.4% this year, followed by an acceleration to 0.9% in 2027.

Author

Charlotte de Montpellier

Senior Economist, France and Switzerland

charlotte.de.montpellier@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for

THINK economic and financial analysis

any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 3 July 2026

FX

FX Daily: High alert on JPY intervention

Softer US jobs data has weakened the dollar, but we do not see this as sufficient to extend USD losses on its own. We look for near-term stabilisation in DXY. Thin liquidity around the US holiday today and Monday increases the risk of JPY intervention, with an initial round that may already have occurred yesterday morning



With US holidays thinning liquidity today and on Monday, the risk of further intervention remains elevated despite the recent correction lower in USD/JPY

↓ USD: Poor jobs report not enough to bring dollar much lower

There aren't many silver linings in [yesterday's US jobs report](#). A still respectable 57k payroll gain is more than offset by 74k of downward revisions to the previous two months. Hiring also remains heavily concentrated in private education and healthcare, which added 69k jobs versus a modest 49k increase in total private payrolls. The 0.1ppt drop in unemployment to 4.2% was driven mainly by a lower participation rate, an unencouraging sign of worker disengagement.

Overall, the report makes it harder for markets to rebuild expectations of two Federal Reserve rate hikes. At the same time, it is not weak enough on its own to trigger significant dovish repricing. Despite yesterday's front-end correction, more than 25bp remains priced into the December contract, and markets can still hold on to expectations of at least one hike into the 14 July CPI release.

While the data supports our bearish USD view for the second half of the year, we do not see the greenback entering a sustained downtrend yet. Instead, DXY may stabilise in the 100.0-101.5 range over the coming weeks.

With US markets closed today for Independence Day, liquidity will be thinner, creating – as discussed below – an opening for potential Bank of Japan intervention.

Francesco Pesole

➔ **EUR: Lacking a bullish narrative**

Price action in EUR/USD in the hours after the US jobs report highlights the lack of a convincing bullish narrative for the euro. That is largely explained by markets starting to doubt the ECB will hike again after all, with pricing for September at 11bp and for year-end at 17bp.

While ECB speakers have generally tried to hang on to a hawkish tone, President Christine Lagarde and others have conceded that the policy response may not need to be that aggressive from here. Lower-than-expected June CPI this week and oil prices staying stubbornly low mean that some second-round effects on core inflation may well be needed for the ECB to hike again.

The risks are that markets price out all ECB tightening before doing the same for Fed tightening. While the impact beyond the near term can still be a net positive for EUR/USD (which often responds asymmetrically stronger to the Fed), this dynamic argues against a fast return to 1.16-1.17 from here. We expect rallies to start getting tired beyond 1.150-1.153 in current conditions, and forecast a return above 1.16 only late in the summer.

Francesco Pesole

⬆ **JPY: Markets pricing high intervention risk**

USD/JPY saw downside volatility yesterday, even before the soft US jobs report briefly pushed the pair below 161.0. We cannot rule out that this initial move was driven by FX intervention.

With US holidays thinning liquidity today and on Monday, the risk of further intervention remains elevated despite the recent correction lower in USD/JPY. Japanese authorities tend to act around holidays and to spread operations over multiple days. Acting in the wake of a USD-negative event would also be consistent with their approach in 2024.

A sharp decline in USD/JPY one-week risk reversals points to a higher implied probability of imminent intervention. While softer US data improves near-term conditions for the yen, we believe more hawkish rate communication from the Bank of Japan is still needed to prevent a repeat of the rebound in USD/JPY seen after the April/May intervention round.

Francesco Pesole

↑ **TRY: Disinflation to revive rate-cut hopes while carry remains king**

Turkey will release its June inflation data this morning. We expect monthly inflation to ease further to 0.8%, bringing annual inflation back onto a downward path at 31.9%, from 32.6% in May. The main drag should come from unprocessed food prices, helped by stronger agricultural output and favourable rainfall so far this year, while the sharp fall in oil prices should also ease pressure on energy inflation.

The Central Bank of Turkey has faced renewed inflation pressure since the start of the year. This was amplified by the US-Iran conflict, which left Turkey the most exposed country in the region to higher fuel prices. In this context, the improvement in global conditions is the key support for lower inflation, offering some welcome relief to the central bank.

The CBT recently removed the additional lira reserve requirement on FX deposits, previously set at 2.5% and introduced in 2023. This should release liquidity into the banking system, effectively easing monetary conditions. If today's data confirms that disinflation has resumed, the CBT could restart weekly repo auctions and bring the weighted average cost of funding closer to the 37% current policy rate level.

USD/TRY remains on a steady upward trajectory, but the central bank has been allowing the lira to weaken further over the past three months – between 1.50-1.75% per month, leaving slightly less carry on the table. Still, the lira remains the main FX carry trade in the EM space, and we have seen long positioning return essentially back to pre-US-Iran conflict levels. This reflects a return of confidence in the TRY market, which today's inflation figures should confirm and get the market back to pricing in rate cuts again.

Frantisek Taborsky

Author

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 25 June 2026

ENERGY UNITED STATES AI

Three trends to watch in the US data centre industry

From behind-the-meter power to new data centre hubs and 'boomtowns', an AI-era makeover is now reshaping energy, infrastructure and local economies across the US



A large-scale Google data centre in Nevada. Data centres are now driving an infrastructure revolution and energy demand growth at a rate not seen in decades

AI has become a key driver of economic growth in the US, with power constraints emerging as a defining factor shaping how sectors evolve. As AI-driven data centre expansion accelerates, it is reshaping energy demand, infrastructure needs, and local economies.

For instance, data centres are driving energy demand growth at a rate not seen in decades, requiring significantly more power than the grid can deliver in a 12 to 18-month span. Moreover, data centres are driving an infrastructure revolution, requiring significant buildouts necessitating new real estate and fibre networks in remote areas. All this will also affect affordability for the public, putting the topic at the forefront of data centre development.

Against this backdrop, we're closely tracking several key data centre trends in the US. This article explores behind-the-meter power, the rise of ultra-large hubs, and the emergence of data centre 'boomtowns'. A follow-up piece will examine modular solutions and evolving supply chains.

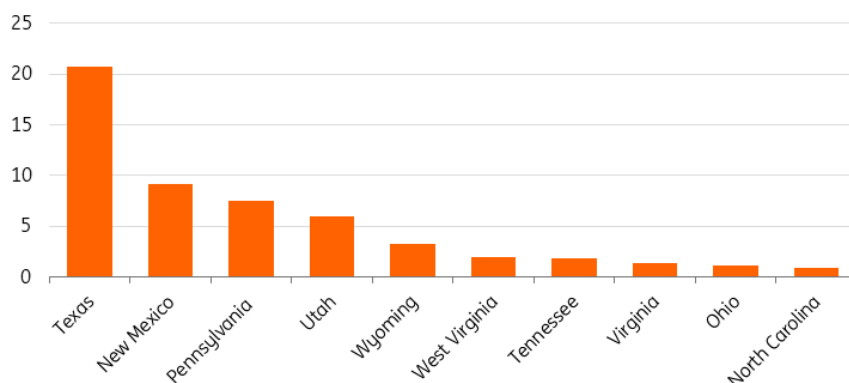
1. How data centres' own power can be a new grid asset – and more than a stopgap

Power availability is now a first-order concern for the data centre industry. Grid interconnection for both data centres and new power generation remains slow, often exceeding **four-year timelines**. Multiple reforms are underway, such as [recent action](#) by the Federal Energy Regulatory Commission (FERC) to accelerate large power consumer interconnection, but the effects take time to be seen.

As data centres race to bring new capacity online in the next 12-18 months, many are turning to on-site (or 'behind-the-meter') power. This means generating and using electricity directly on their premises, bypassing the grid.

Conservatively, over **55GW** of behind-the-meter capacity is being planned at US data centres. That is higher than the total installed power capacity in the state of New York. Texas has the most planned on-site capacity, followed by New Mexico and Pennsylvania.

US planned data centre on-site power generation capacity in top 10 states



Source: ING Research, Cleanview

The US accounts for most of the world's planned data centre behind-the-meter power capacity. This is driven by a huge project pipeline and cheap gas resources. Indeed, 75% of the planned US onsite power capacity is expected to be from natural gas through turbines, engines, and fuel cells. Renewables could also be a niche alternative, such as Switch's solar and battery-powered Citadel Campus in Nevada.

Most data centres view on-site generation as a 'bridging solution'

Still, most data centres view on-site generation as a 'bridging solution.' In the long term, the

majority would still return to relying on grid power. In fact, many data centres are developing behind-the-meter solutions while waiting to be connected to the grid.

An emerging issue today, however, is managing rapid load surges (e.g., over 20MW of surge in 0.25 seconds) thanks to shifts in AI workload-driven data centre design. These surges can be too quick for on-site generators to respond to, and they can put sudden strain on the grid. Another key challenge is how data centres can be seen as grid supporters rather than isolated power users, especially as power prices come under pressure.

Power storage stands out as a solution

For both challenges, **power storage** stands out as a solution.

Behind-the-meter power can already help smooth out demand spikes. And if combined effectively with utility-scale battery storage, it can give excess power back to the grid, boost overall capacity, and stabilise prices. Furthermore, batteries can help meet instant load surges, enhancing on-site generator performance. That is why we expect more battery systems to be added to data centres, not only alongside renewables, but also with gas-fired power generation.

Ultimately, data centres must adopt strategies that support local energy systems. That essentially means supporting consumers who rely on power from the grid. Battery storage onsite at data centres, as discussed above, will be an asset to the grid. Beyond that, participating in [virtual power plant \(VPP\) programmes](#) can make power demand from the grid more flexible (e.g. Google's deal with Voltus).

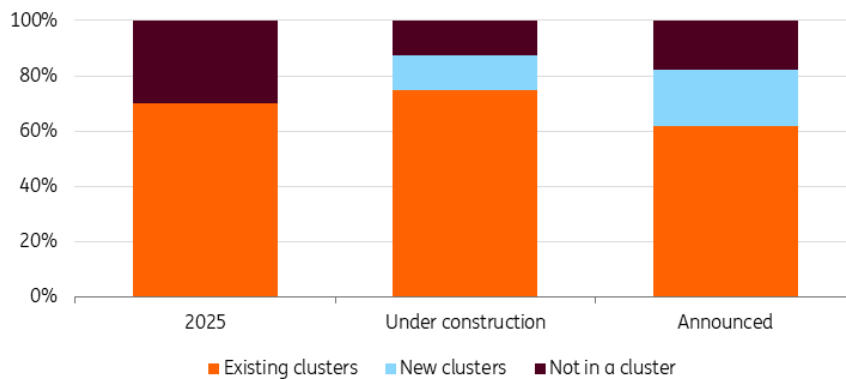
All these will become increasingly important as data centres are more vertically integrated with the energy sector (e.g. Google's acquiring of Intersect's digital power business). Smart data centre energy strategies, combined with evolving grid policies, will enable genuine energy transformation.

2. The rise of new ultra-large hubs calls for system efficiency

Data centres, especially those in the US, are large in size. Now, though, they are growing even larger, as demand from AI and cloud workloads continues to surge. Hyperscalers are moving from gigawatt factories to multi-gigawatt campuses. Colocation providers are shifting away from traditional enterprise models toward higher-capacity deals with anchor customers.

Traditionally, data centres are spatially concentrated to take advantage of shared infrastructure and customer proximity. Now, though, an increasing number of larger data centres are in development, meaning concentration is not going away. In North America, approximately **80%** of the data centres in the pipeline are expected to be in clusters, both existing and new.

Geographical distribution of data centres in the US



Source: International Energy Agency, ING Research. Note: Data centre clusters are defined as groups of facilities with a combined total designed capacity of over 500MW within a 100km radius.

Hyperscalers and operators are deepening the expansion of existing clusters, such as Northern Virginia and major Texas metropolitan areas, including Dallas and San Antonio.

Meanwhile, new hubs are forming. Rising land, power, and interconnection constraints in existing clusters are catalysing the emergence of new hubs such as West Texas and Ohio. Infrastructure in these regions is quickly developing. Digital infrastructure company US Signal, for instance, is constructing **over 1,000 miles** of new fibre networks across Ohio and Indiana. That length is enough to get you from New York City to Tampa, Florida.

For data centres, efficiency is key. This is true at the asset level, but it becomes more important at the system level – at clusters. Achieving system efficiency requires a holistic approach. Coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation stage.

Achieving system efficiency needs a holistic approach

For instance, new regional hubs serve both latency-sensitive AI inference and location-agnostic AI training. So, coordinated planning of fibre networks, grid connectivity, and general resource utilisation will make these hubs more efficient at their formation.

Another key factor of system efficiency is local support. Data centre development can inevitably create pressure points for communities. For instance, in Ohio, now a major data centre hub, retail electricity prices rose 22% year over year. In some other cases, local communities have had concerns about data centre water usage and pollution. As local sentiment becomes a bigger consideration for project development, data centres need to demonstrate they can be part of the solution. Effective strategies include engaging with

communities early, identifying their needs, and reflecting them in project plans.

3. How remote data centre boomtowns can keep booming in the long term

But not all data centres will go for clusters. Some have headed to remote towns outside major metropolitan areas, betting that their multi-gigawatt ambition alone can achieve economies of scale.

One example is Abilene in Texas, home to the nearly 300,000-square-foot Stargate facility. The economic benefits from the project have surged: it has created thousands of construction jobs since its launch in mid-2024, while drawing in out-of-town labour. Other boomtowns and communities include New Florence, Missouri; Holly Ridge, Louisiana; and so on.

For these towns, much of the local economic growth now relies on data centres. That has raised questions about how these towns can sustain growth once data centre construction is completed. Studies suggest that for a traditional large data centre, operational job creation potential tends to be less than 10% of that of construction jobs.

We argue, however, that with the right strategies, data centres can meaningfully contribute to the development of local communities.

The key, first and foremost, is to **transform construction jobs into skill-oriented on-site asset management jobs**. As hyperscalers become larger and more sophisticated, the need for skilled labour to run such data centres could disproportionately grow. With more data centres pursuing behind-the-meter power solutions, there will be extra demand for labour capable of maintaining energy assets.

The second priority is to **transition from being a construction hub to becoming part of a broader AI ecosystem**. Even at the planning stage, data centres are encouraged to work with local stakeholders to develop a regional AI blueprint. For instance, Microsoft's hyperscaler buildout in Wisconsin includes partnerships with nearby colleges to support research and development (R&D), train skilled labour, and facilitate AI adoption among local companies, such as Regal Rexnord and Renaissance. By doing this, Microsoft is helping turn parts of Wisconsin into an "AI lab," with hyperscalers surrounded by educational institutions running dedicated AI programmes.

Data centre boomtowns need to transition from a construction hub to a broader AI ecosystem

This can create high-quality research jobs locally, with spillover benefits for employment in services and hospitality. Data centres would also benefit from working closely with state and

local governments to ensure that local communities have affordable housing, power, and other resources.

Conclusion

As AI becomes a megatrend affecting many sectors of the US economy, data centre development increasingly hinges on coordination across the supply chain and with local stakeholders. Power strategy, system-level efficiency and local alignment will increasingly define business success.

Ultimately, local support is a critical 'social license to operate'. Community trust will be awarded to players who align the interests of data centre developers, tenants, and power suppliers with those of local communities from the start. Data centres that incorporate flexible design, efficient hardware and software, and smart use of water and power – while engaging supply chains and local communities – are more likely to survive the 'boom' period and sustain long-term business continuity.

Author

Coco Zhang
ESG Research
coco.zhang@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

THINK economic and financial analysis

Additional information is available on request. For more information about ING Group, please visit www.ing.com.